

Insig AI Plc: Financial Analysis Report

Date of Analysis: September 4, 2025

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Company Overview

Company Name: Insig AI Plc

This report presents a detailed financial analysis of Insig AI Plc, highlighting its current financial condition, operational performance, valuation metrics, liquidity status, and governance considerations.

Key Findings

- **Financial Profile:**
 - Insig AI exhibits a distressed financial profile characterized by severe operating losses and deeply negative profitability metrics.
 - Operating margin stands at -567.3%, and net margin is -4307.7%, indicating significant losses at both operational and net levels.
- **Valuation Ratios:**
 - EV/EBIT ratio is 0.0x due to negative EBIT, which distorts the valuation metric and renders it misleadingly low.
 - EV/Revenue is very high at 42.0x, suggesting market expectations that are not supported by the company's fundamental financial performance.
- **Profitability and Returns:**
 - Gross margin is reported at 100%, inflated by zero cost of sales, which does not reflect operational reality.
 - Returns on equity and capital employed are negative, reflecting ongoing capital burn and poor returns on invested capital.
- **Liquidity and Solvency:**
 - Liquidity ratios are critically low, with both current and quick ratios at 0.1%, raising serious solvency concerns.

- Leverage is moderate with a debt-to-equity ratio of 1.0; however, interest coverage is negative at -16.6x, indicating inability to service debt from earnings.
- **Efficiency Metrics:**
 - Inventory turnover is zero, indicating no inventory movement or sales activity in this area.
 - Receivables collection period is reasonable at 38 days.
- **Earnings Quality and Cash Flow:**
 - Earnings quality metrics show no aggressive accruals or large accounting adjustments.
 - EBITDA to free cash flow conversion is zero, highlighting poor cash realization from earnings.
 - Free cash flow is negative at £-1.3 million, confirming ongoing cash consumption.
- **Asset Quality:**
 - Tangible book value is negative at £-2.8 million, indicating a deficit in tangible net assets.
 - Capital expenditure is zero relative to depreciation, suggesting underinvestment in asset base.
- **Ownership and Governance:**
 - Ownership is concentrated, with the largest shareholder holding 18.6%.
 - Directors hold significant options and warrants.
 - Recent board changes due to resignation and death introduce governance risks.

Relevance of Findings

- These findings are critical as they highlight the company's **current financial distress**, operational inefficiencies, and liquidity risks, which severely impact its ability to sustain operations without external financing.
- The **distorted valuation multiples** suggest that market expectations are not aligned with the company's current financial realities, increasing investment risk.
- Negative profitability and cash flow metrics indicate ongoing capital consumption, while poor liquidity and negative interest coverage raise concerns about solvency and financial stability.
- Concentrated ownership and recent board changes introduce **governance uncertainties** that could affect strategic decision-making and turnaround execution.
- Understanding these factors is essential for assessing the company's intrinsic value, risk profile, and potential for recovery.

Conclusions

Insig AI is in a financially challenged state with significant losses, poor liquidity, negative cash flows, and negative tangible equity.

Valuation multiples are misleading due to losses and low revenue. The company depends heavily on financing activities to continue operations, with material uncertainty around its going concern status.

Concentrated insider ownership and recent board changes add governance risks that may complicate strategic decisions.

The company's recovery hinges on effective management execution, operational improvements, and securing additional funding.

Further information on management plans, future cash flow projections, and governance arrangements is necessary for a comprehensive assessment.

Given the high financial and operational risks, any investment decision should be made cautiously and with full awareness of these challenges.

Analyst's Signature

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